



[Weekly Market Commentary](#)

Dear clients,

Economic data in the US continued surprising to the downside this week, raising questions as to whether more aggressive Fed cuts are back on the table in 2024 or if the risk of stagflation has risen. The Federal Reserve meets on June 11-12, increasing attention around a complicated macroeconomic outlook that is putting pressure on many long duration assets including crypto. For example, the JOLTS job openings disappointed expectations, adding to the significance of Friday's non-farm payrolls report in terms of its implications for a slowing labor market.

Meanwhile, US spot bitcoin ETFs have had 16 consecutive days of inflows as we go to publish. This is equal to the previous longest inflow streak between January 26 and February 20, shortly after the initial ETF launches. There are additional parallels between the current streak and the previous one including similar volumes and funding rates. This previous streak immediately preceded a period of heightened volatility and volumes, and we believe that recent market sentiment, combined with regulatory tailwinds, could lead to a similar pattern unfolding if momentum continues.

Separately, we propose a new metric for network adoption that aims to mitigate the impacts of sybils or the outsized influence of airdrop-induced activity. Borrowing from academia, the network h-index measures the number of recipient addresses that have had at least that same number of unique users. That is, a network with an h-index of 100 means that 100 different addresses had at least 100 different users. This index can be further filtered to smart contract interactions only. Among the EVM-based networks we sampled, Ethereum and Base had the highest levels of broad-based network activity over the past week based on this metric.

[Read full report](#)

Best,
The Coinbase Institutional Team

Weekly Market Call

View replays of our weekly crypto market analyses from our Americas, APAC and EMEA Coinbase Institutional teams.

[Watch now →](#)

Also, please take a look at our [Institutional Research portal](#) for an archive of all our research reports.

Subscribe

Not subscribed to the Weekly Market Commentary and want to be added to the list?

[Subscribe here →](#)



Twitt



Coin
R&I
Hub



Linke

COINBASE and related logos are trademarks of Coinbase, Inc., or its Affiliates. The views and opinions expressed herein are those of the author(s) and do not necessarily reflect the views of Coinbase and summarizes information and articles with respect to cryptocurrencies or related topics. This material is for informational purposes only and is only intended for sophisticated investors, and is not (i) an offer, or solicitation of an offer, to invest in, or to buy or sell, any interests or shares, or to participate in any investment or trading strategy, (ii) intended to provide accounting, legal, or tax advice, or investment recommendations, or (iii) an official statement of Coinbase. No representation or warranty is made, expressed or implied, with respect to the accuracy or completeness of the information or to the future performance of any digital asset, financial instrument or other market or economic measure. The information is believed to be current as of the date indicated and may not be updated or otherwise revised to reflect information that subsequently became available or a change in circumstances after the date of publication. Coinbase, its affiliates and its employees do not make any representation or warranty, expressed or implied, as to accuracy or completeness of the information or any other information transmitted or made available. Investing in cryptocurrency comes with risk. Certain statements in this document provide predictions and there is no guarantee that such predictions are currently accurate or will ultimately be realized. Prior results that are presented here are not guaranteed and prior results do not guarantee future performance. Recipients should consult their advisors before making any investment decision. Coinbase may have financial interests in, or relationships with, some of the assets, entities and/or publications discussed or otherwise referenced in the materials. Certain links that may be provided in the materials are provided for convenience and do not imply Coinbase's endorsement, or approval of any third-party websites or their content. Any use, review, retransmission, distribution, or reproduction of these materials, in whole or in part, is strictly prohibited in any form without the express written approval of Coinbase. Coinbase, Inc. is licensed to engage in virtual currency business activity by the New York State Department of Financial Services.



Coin

© Coinbase 2024 | Coinbase Custody International Limited
70 Sir John Rogerson's Quay | Dublin 2 | D02 R296 | Ireland

www.coinbase.com

[Get in touch](#)

[Unsubscribe](#) from future editions of this type of message.